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Research Briefing | Germany

New coalition aims to modernize with limited fiscal boost

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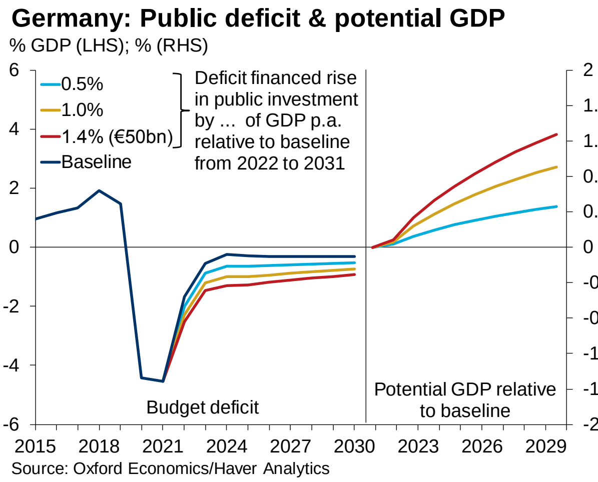
- **The SPD, FDP and Green party have struck a deal to form the next German government, which should be in power by early-December. A first reading of the 177-page deal suggests that the future coalition has agreed an overall sensible plan to modernize and decarbonise the country. But there are key questions on implementation and financing, while the pandemic is a near-term headache.**
- **The deal is short on details on how to pay for all the greening and digitalisation efforts. But in line with our pre-election take it appears that there will be limited fiscal easing relative to our baseline forecast. The coalition aims to mix some tweaks to the national debt brake and off-budget vehicles with expenditure cuts.**
- **The focus on bolstering public and private investment is welcome, but we think that the near-term impact on the economy will be limited. The new coalition will need to reduce plenty of hurdles such as lengthy approval procedures first. And capacity constraints in industry and construction will slow implementation.**
- **Despite the uncertainty about timing and scale of the measures, we will revise our forecast to account for a moderately wider structural deficit (about 0.5pp of GDP) reflecting the gradual deployment of the to-be-specified investment funds.**
- **In order to alleviate the demographic headwinds and capacity constraints, the coalition aims to increase participation and immigration through a mix of measures. But we don't see much upside to our baseline views.**
- **The next government did not commit on the future of the EU's fiscal rules with no clear red lines allowing it to remain the arbiter between doves and hawks. A simplified rulebook focused on limiting the immediate post-crisis fiscal retrenchment in highly indebted countries may be the easiest compromise.**

Figure 1: Add headline for figure here



Source: Oxford Economics/Haver Analytics

The coalition deal offers limited quantitative detail on the fiscal policy outlook. We think that irrespective of the exact size of the planned lift to investment, capacity and implementation hurdles will constrain the near-term impact. Overall, we will likely revise our forecast to account for a medium-term fiscal easing of about 0.5pp of

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Coalition deal looks encouraging but is short on detail

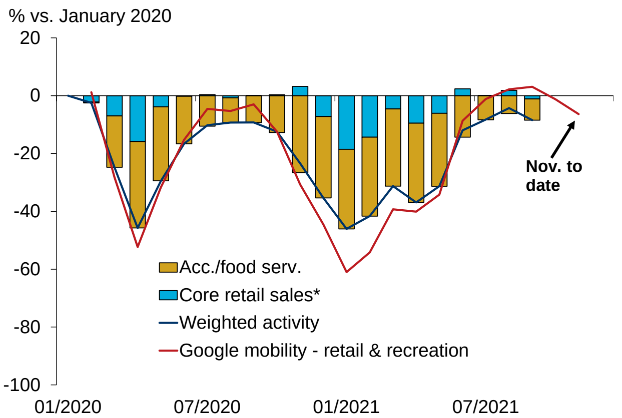
Germany is on course to have a new governing coalition in power by early-December as the SPD, FDP and Green party have managed to strike a deal two months after the election. That is slightly quicker than what we had feared right after the election given the protracted deal making four years ago. But the alternative of a three-party coalition led by the CDU quickly vanished given that party's leadership struggle. So it is now up to three respective party bases to ratify the deal, but we see a failure only as a tail risk.

The speed of the deal and the apparent trust between the partners (there have been barely any leaks from the negotiations) is overall encouraging as is much of the deal itself, which aims to modernise, digitalise, and decarbonise the economy. But the 177-page deal is short on details, timing and even shorter on numbers especially as regards fiscal policy. In part that was intentional to not excessively pre-commit the coalition. But it also likely reflects residual disagreement in some key policy areas.

Against this backdrop our assessment only represents an initial take, where a lot will depend on the coalition's ability to agree and implement their policies. And as Merkel's crisis-ridden four terms in office have shown, coalition deals can quickly be derailed by reality.

Figure 2: Mobility data suggests that services activity is stalling

DE: Google mobility vs. services activity



Source: Oxford Economics/Haver Analytics (*ex. food, fuel, online)

Germany is in the middle of a new infection wave. Some voluntary social distancing and a tightening of vaccine and testing requirements to enjoy certain services have begun to take their toll on mobility. This suggests that the hospitality sector and brick and mortar retailers will suffer in Q4.

Coalition needs to deal with pandemic before it can focus on other priorities

Indeed, the so-called traffic light coalition (for their party colours) is set to take the reins at a precarious time as the fourth infection waves rolls through the country. But the new coalition appears reluctant to toughen virus containment measures beyond the widespread testing and vaccination requirements agreed last week. Instead, they focus on accelerating the faltering vaccination campaign as future chancellor and current finance minister Olaf Scholz (SPD) announced before presenting the coalition deal.

While that reduces the immediate odds of lockdown-type measures over the winter, that strategy could well backfire against the backdrop of sharply rising hospitalisations. But even without additional measures the economy will struggle to post any growth over winter. And we see growing risks of a contraction in Q4 as mobility has been pointing to a fall in consumer services activity already before the recent tightening of measures (**Figure 2**). Nonetheless, we think that further progress on the vaccine front and an expected easing in supply bottlenecks bolsters the outlook for 2022, while we expect fiscal policy to begin tightening only gradually.

In fact, despite a lack of detail, the coalition agreement bolsters our view that the traffic light coalition will put up significant fiscal resources to attain their targets, which should ease the upcoming fiscal tightening and bolster the recovery. One of the key targets is to

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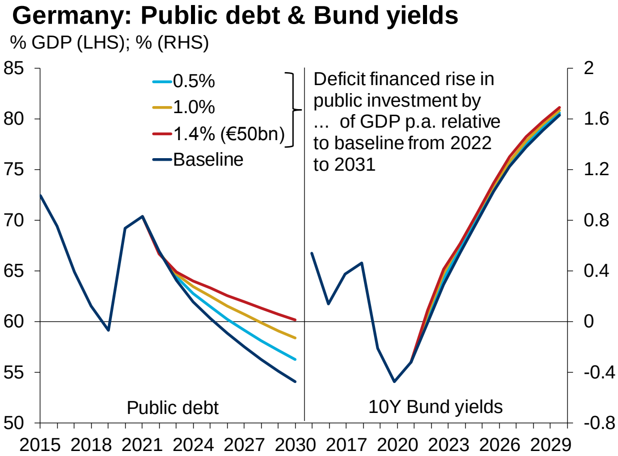
put Germany on a 1.5° warming path and all that entails (e.g. renewable share at 80% by 2030). The other overarching topic is to modernise the economy and public administration mostly through a ramp up in efforts to digitalise public services.

Plenty of ways to create fiscal leeway, but little clarity on coalition's plans

And as these plans are incompatible with the boundaries set by the national public debt brake, the three parties have agreed a multi-pronged approach to finance their priorities:

- **Channel unused funds from 2021/22 budget into the Energy and Climate Fund:** Better than expected growth in 2020 meant that the budget shortfall was smaller than expected. These unused funds (€25bn) have been put into an off-budget vehicle for future use. The new coalition wants to repeat that for this year's unused funds, which we think might come in at over €50bn, and potentially also for those from 2022. There are some questions on the legality of this measure to circumvent Germany's national public debt brake. But it would add at least 0.5% of GDP p.a. to the fiscal space assuming an equal distribution over 2023-2026.
- **Stretch the repayment of pandemic-related debt.** The debt brake requires that deficits accumulated, when the escape clause is used, is paid back. But it leaves plenty of discretion on how and when. The new coalition wants to stretch current repayment plans (2023/26 to 2042) to align with the NGEU repayment plans (2027 to 2058). That would free about 0.1% of GDP in the next years rising to 0.5% in 2026. And while sensible it would in part only be a can-kicking exercise delaying some of the adjustment to the next term.
- **Revise the cyclical adjustment of the debt brake rule:** Not touching the parts of the debt brake rule that are enshrined in the constitution has been one of the FDP's red lines. But the rules that determine how to account for cyclical gyrations aren't. There are plenty of ways to widen the fiscal space by tweaking the forecast for potential GDP or adjusting more arcane bits like the budget semi-elasticity. Some put the additional fiscal space at maybe 1% of GDP, but we think that the coalition would make more conservative tweaks yielding funds worth under 0.5% of GDP.
- **Other:** E.g. unspecified spending reviews and cuts to tax subsidies and giving publicly owned entities such as the development bank KfW more space to issue debt to finance private investment that aligns with the new government's priorities.

Figure 3: Plausible widening of deficit would keep debt on downward trajectory



Source: Oxford Economics/Haver Analytics

A plausible widening of the fiscal deficits in the coming years would have only a modest impact on debt levels.

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Hence, as we have argued pre-election, subject to political willingness there is enough flexibility to create fiscal space worth well over 1% of GDP within the national debt brake. However, we remain sceptical that the coalition will manage to quickly deploy all those funds even if they fully exploit all avenues. Much of the spending is meant to raise investment, but we see severe labour shortages and continuously growing backlogs in the construction sector. So even if the coalition manages to ease administrative hurdles such as the very long construction approval processes, that won't lift investment quickly as construction firms will struggle to grow their workforce.

Public and private investment may struggle to take off

We also pointed out that tax-based measures are more likely to stimulate activity quickly. Here the coalition wants to implement "super tax deductions" that allow firms to deduct part of their capex spending on green and digital projects in 2022 and 2023. We think that is a very worthwhile idea, but firms may struggle to take advantage of this within that timeframe given the still prevailing supply bottlenecks and large backlogs of other work. Beyond that there is little action on the tax front.

Against this backdrop, we will adjust our baseline forecast to reflect a widening of the structural deficit of about 0.5pp of GDP to stylistically take account of the coalition plans. This will entail a similar lift to our GDP forecasts as multipliers for these kinds of investments are close to 1. And we will revisit these assumptions as the new government details its spending plans and we gain more visibility on how binding the capacity constraints we identified are.

Will plans stoke inflationary pressures?

The deal also contains an agreement to substantially raise the minimum wage to €12 per hour from currently €9.60, a rise of 25% that would benefit up to 10m workers. However, contrary to the SPD's wishes to make that step in 2022 the deal does not contain a timing. So, we won't adjust our wage and inflation forecasts for now. Nonetheless, the spending and minimum wage plans suggest upside risks to our inflation forecasts especially in light of Germany's tight labour market. On the other hand, the coalition also plans to abolish the renewable surcharge on electricity in 2023, which will offset some of the lift from rising CO_2 taxes.

Some support to potential GDP growth

Finally, the three parties are well-aware of the demographic headwinds to the German labour force that risk undermining progress towards the coalition targets. Hence, they plan to i) raise female labour market participation further, although Germany is already well-above the EU average, ii) raise immigration through lowered administrative hurdles for non-EU migrants and iii) improve education as well as vocational (re-)training. However, such sensible initiatives often face implementation hurdles and unclear benefits. So we will await more clarity on that before taking account of them in our baseline. In any case, as regards immigration, we already assume that net inward migration will average over 200.000 p.a. despite slowing inflows from other EU countries, and our forecasts include further gains in female participation. So, if anything, this lowers downside risk to our views.

In all, we think the coalition deal has put the focus on the right priorities with the potential that Germany will become significantly greener, more digital, and more equal over the coming years. However, in many ways the next government will face similar struggles to implement its policies as the last one (Fun fact: The grand coalition's agreement in 2018 contained the word digitalisation 99 times, the current one 63 times). Therefore, we doubt that all plans will succeed. Nonetheless, we expect Germany to continue to be governed sensibly with little drama and the country to make steady, if unspectacular, progress over the coming years. If that is really enough given the challenges that climate change poses, only the future will tell.

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